11. INCOME TAXES

Domestic and foreign components of loss before income taxes for the years ended June 30, 2019, 2018 and 2017 are as follows:

	For the year ended June 30,		
	2019	2018	2017
Canada	$ 3,622	$ 5,667	$ 4,897
United States	3,714	2,830	9,733
Total	$ 7,336	$ 8,497	$ 14,630

On December 22, 2017, the Tax Cuts and Jobs Act (the "U.S. Tax Act") was signed into law making significant changes to the U.S. tax code, including a reduction of the U.S. federal corporate tax rate from 35 percent to 21 percent. During the year ended June 30, 2018, the Canadian statutory tax rate also increased from 26 percent to 27 percent related to provincial law changes in British Columbia. The primary impact of these changes to the Company was a reduction in the deferred tax asset related to mineral interests and net operating loss carryforwards, offset by a corresponding change to the valuation allowance.

The following table is a reconciliation of income taxes at statutory rates:

	For the year ended June 30,		
	2019	2018	2017
Loss before income taxes	$ 7,336	$ 8,497	$ 14,630
Combined federal and provincial statutory income tax rate	27%	27%	26%
Income tax benefit at statutory tax rates	1,981	2,294	3,804
Foreign rate differential	(71)	(49)	1,218
Warrant expense	(42)	(195)	(66)
Share based compensation	(163)	(350)	(383)
Change in estimates related to prior years	211	218	(471)
Effect of legislative changes	-	(3,591)	-
Change in valuation allowance	(1,821)	2,051	(4,028)
Other	(95)	(378)	(74)
Income tax benefit	$ -	$ -	$ -

Deferred income taxes reflect the net tax effects of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. The significant components of deferred taxes are as follows:

	As of June 30,	
	2019	2018
Deferred tax assets		
Mineral interest	$ 8,093	$ 7,307
Net operating losses available for future periods	6,209	5,103
Other	146	217
Total deferred tax assets	14,448	12,627
Valuation allowance	(14,448)	(12,627)
Net deferred tax assets	$ -	$ -

Changes in the valuation allowance are as follows:

	For the year ended June 30,	
	2019	2018
Valuation allowance, beginning of year	$ (12,627)	$ (14,678)
Current year additions	(1,821)	(1,647)
Decrease resulting from the revaluation related to changes in tax rate	-	3,698
Valuation allowance, end of year	$ (14,448)	$ (12,627)

The Company establishes a valuation allowance against future income tax assets if, based on available information, it is more likely than not that all of the assets will not be realized. The valuation allowance of $14,448 at June 30, 2019 relates mainly to net operating loss carryforwards in Canada and mineral interest due to deferred exploration expenditures in the United States, where the utilization of such attributes is not more likely than not.

The Company's net deferred tax asset balance as of June 30, 2018 and the corresponding valuation allowance for the year then ended reflects a decrease of $3,698 resulting from the re-measurement of the Company's tax position due to a reduction of the U.S. federal corporate tax rate from 35 percent to 21 percent under the U.S. Tax Act.

The Company had the following cumulative net operating losses for federal income tax purposes and these carryforwards will generally expire between 2026 and 2039. As a result of the U.S. Tax Act, U.S. tax losses incurred for tax years commencing in 2018 have no expiration.

	As of June 30,	
Jurisdiction	**2019**	**2018**
Canada	$ 21,794	$ 18,070
United States	1,405	982
Total	$ 23,199	$ 19,052

The Company had no unrecognized tax benefits as of June 30, 2019 or 2018. The Company recognizes interest accrued related to unrecognized tax benefits and penalties in its income tax provision. The Company has not recognized any interest or penalties in the fiscal years presented in these financial statements. The Company is subject to income tax in the U.S. federal jurisdiction and Canada. Certain years remain subject to examination but there are currently no ongoing exams in any taxing jurisdictions.